ments for semiconductor manufacturing. Another key focus area would be the design ecosystem. "We would like to have 50 major design companies to come up in the country," Vaishnaw said. Under ISM 1.0, a design-linked incentive scheme offered access to electronic design application tools to 278 colleges in a bid to create a pool of skilled workers.

Alongside this, the budget has nearly doubled the incentive outlay for the Electronics Components Manufacturing Scheme (ECMS) to Rs 40,000 crore. The increased outlay was driven by the high volume of investment commitments received—Rs 1.15 lakh crore by September 2025 as against the target of Rs 59,350 crore. The ECMS, launched in April 2025 with an outlay of Rs 22,919 crore, targets localisation of high-volume, high-import components such as multi-layer Printed Circuit Boards (PCBs) and High-Density Interconnect PCBs, which are core to electronic devices, from smartphones and laptops to automotive and industrial systems. Equally, its focus is on camera modules and polypropylene films—key materials for manufacturing capacitors. "A lot of the import dependencies will go away—the most important thing ECMS will address," explains Chandak. "With the chips made through ISM and components through ECMS, we can bring India's electronics value addition to 35-40 per cent-plus." The direction has been set. Execution is key. ■



THE FUTURE BET

- **Support mineral-rich states—Odisha, Kerala, Andhra Pradesh and Tamil Nadu—in developing dedicated rare earth corridors**
- **Strengthening the domestic value chain, which is vital to automobiles, electronics etc., will reduce import dependence**



"Dedicated corridors will strengthen India's critical minerals ecosystem, helping it achieve nearly 70 per cent self-reliance in rare earths in the short run and capture up to 30 per cent of the global market in the long run. Building domestic processing and recycling capacity will be crucial"

— NITIN GUPTA
CEO & Co-founder, Attero, a rare earth minerals extraction firm

earth magnets in FY25, underscoring the depth of its dependence.

Rare earth minerals do not occur in concentrated deposits, making extraction technically complex and economically demanding. China produces roughly 140,000 tonnes of these metals annually, with the US a distant second at 38,000 tonnes. India remains a minor producer: its rare earth oxide capacity, largely through state-owned IREL (India) Ltd, is just over 5,000 tonnes.

Already under way, the National Critical Mineral Mission—launched in April 2025—has tasked the Geological Survey of India with undertaking 1,200 exploration projects by 2031. A complementary Rs 7,280 crore scheme unveiled in November aims to establish 6,000 tonnes per annum of integrated REPM manufacturing capacity.

Industry executives note that refining capacity must expand significantly if India is to meet even part of its domestic needs. The proposed corridors could help by improving access to land, infrastructure and financing for processing units. ■